

OBSERVATIONS BY LORD FINLAY.

I agree with the conclusions at which the Court has arrived, and the following observations are directed merely to some of the reasons given for one of these conclusions.

I had intended to deliver a dissenting judgment based on the view that, first, Poland is entitled to the benefit of the Armistice, and, second, that the first clause of the Protocol of Spa nullified the transfer by the Reich of the Chorzów factory.

In preparing my judgment I reviewed the evidence bearing on this part of the case. The result of this fresh examination has been to confirm my view on the first of these two points, but not on the second.

(1) It was common knowledge that if the Allies succeeded, the independence of Poland would be one of the terms of peace. All Parties to the Armistice must have contracted with this present to their minds, and it must have been intended that Poland, whose army had been fighting on the side of the Allies as an autonomous army, should be bound by the terms of the Armistice and, when she came into existence as a recognized State, have the benefit of them. This would be a *jus quæsitum*, a right acquired for the new State as soon as it should come into existence. In business it is a matter of every-day practice through the machinery of trusts or otherwise to make contracts on behalf of companies not yet incorporated which take effect upon incorporation, and in my view the Allied States made the Armistice on behalf of Poland, which was about to become a State, as well as on their own behalf.

(2) But on the second of these points, the result of my further consideration has been to change my view. The paragraph in the Protocol providing for nullity of any disposition contrary to its terms is at the end of the first clause, and it should, I think, be read with reference to the language of the earlier part of that clause, which says in terms that the German Government was not to take any measure which might diminish in any way the value of the German *domaine*, "*gage commun des Alliés pour le recouvrement des réparations auxquelles ils ont droit*".

The provision that any measure to the contrary should be considered as *nulle et non avenue* should be read as nullifying such dispositions only so far as the purpose expressed in the earlier part of the clause is concerned, viz. the preservation of the Allies' security for the payment of the amounts due for reparation. If this is so, it can have no effect for the purposes of the present case upon the transfer from the Reich to the Oberschlesische Company.

I therefore agree with the conclusion at which the Court has arrived upon this portion of the case; though not with the whole of the reasoning on which that conclusion is based.

(Signed) FINLAY.
